

complaint

Mr B is unhappy that Aviva Insurance Limited won't pay his claim for water damage to his tenanted property under his Residential Property Owners Insurance.

background

In December 2017 Mr B reported a claim to Aviva following his being advised by his tenant about a damp wall. Aviva agreed to send out one of its contractors to trace the leak and as necessary arrange the repairs. The contractors visited the property and after inspecting the bathroom area, reported back that they wouldn't be dealing with the claim due to poor workmanship or lack of maintenance. Mr B followed this up with Aviva, who apologised that the contractors hadn't told him properly of the reasons for declining the claim. It said that the reasons for the leak were because of the following issues:

- Shower handle outlet (tile hole is cut too big)
- Shower screen (gap between wall and screen)
- Bath trap lime scaled (wetting)
- Wall tile cracked
- Floor tile (grout cracked)

It said that these were issues of poor workmanship/lack of maintenance so it wouldn't cover the claim. Mr B obtained his own plumber's report that identified that the leak was coming from the shower valve behind the tiles or from the shower arm, also behind the tiles. Aviva said this didn't change its view. It did however agree to pay £50 for the way the contractors dealt with the complaint.

On referral to this service our investigator upheld Mr B's complaint. She pointed out that there was no exclusion in the policy for poor maintenance or defective workmanship. She proposed that Aviva pay for the repair, the cost of Mr B's report and pay £250 compensation.

In response Aviva pointed out that the leak had evidently been going on for some time, as there was evidence of mould and damp in the adjoining bedroom. It advised that the policy would cover a one off escape of water which this was clearly not.

The matter has been referred to me for consideration.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

cause of damage

The policy covers "*specified contingencies*" one of which is "*Escape of water from any tank, apparatus or pipe.*" Of the two reports that were carried out, I find the conclusions of Mr B's expert to be more persuasive. Although Aviva's contractor's report describes some areas where water could get through it didn't follow this up to describe where and how it caused the damp wall area. This means that I find it most likely that the escape of water came from the shower valve or shower arm, in the wall behind the tiles, so comes under the cover for this in the policy. I note Mr B's plumber removed the shower plate to find the wall behind it to be saturated. I think it unlikely therefore that the issues raised by Aviva's plumber (as I set

out in the background above) affected the damage caused by the escape of water behind the shower. Mr B should nevertheless consider attending to them

Aviva has also said that the policy covers a one-off escape of water and that the leak had clearly been going on for some time due to the evidence of mould and damp in the adjoining bedroom. But as I've said the policy covers an escape of water, it doesn't specify that it has to be a one-off incident. Nor does the policy contain an exclusion (as applied to the escape of water contingency) for gradual loss or gradual deterioration.

I have nevertheless considered whether Mr B (or his tenant) should have reported the damp earlier. In the absence of any photos of it I can't fairly assess that. I do note however that it wasn't until fairly recently (in the past couple of months) that the tenant complained about the effects of damp. I think on balance that it's likely that reporting it earlier wouldn't have made a difference to the claim. So I will be requiring Aviva to settle the claim. This will include any trace and access costs. As Mr B has rightly identified, the cost of repairing the leak itself isn't covered so he should get the shower repaired as soon as possible.

dealing with the complaint

I can understand Mr B's annoyance that he was sent such a brief letter from the contractors saying they weren't going to deal with the claim. Aviva has admitted that this was a mistake and a fuller explanation was sent out to Mr B and it did pay him £50 for the error. It's up to Aviva if it decides to delegate the claim response to its contractors but clearly it will be responsible if, as here, the response to the claim is handled badly.

compensation

Our investigator proposed that Aviva pay £250 compensation. I have taken into account that the tenant has recently contacted Mr B and is concerned about the effect the damp could be having on his children's health. I also take into account that the plumbers employed by Aviva didn't in my view investigate properly the shower area to identify where the leak was coming from. For those reasons I think the £250 put forward is fair and reasonable, I also think Aviva should pay the cost of Mr B's plumber's report.

my final decision

I uphold the complaint and require Aviva Insurance Limited to:

- settle Mr B's claim subject to the remaining terms and conditions of the policy.
- pay the cost of Mr B's plumber's report
- pay £250 compensation to Mr B.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr B to accept or reject my decision before 30 September 2018.

Ray Lawley
ombudsman